

Principles of Taxation — PREVIEW

Course: ATD — Accounting Technicians Diploma | **Level:** Level II

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

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 2. Classification of taxes — full version only
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1. What is a tax, and why do governments levy them?

A **tax** is a compulsory financial charge imposed by a government on individuals or entities, without a direct, specific benefit given in return, used to fund public services and government operations (infrastructure, security, healthcare, education). Taxes are also used as policy tools — for example, to discourage consumption of certain goods, or to redistribute income through progressive tax structures.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB ATD paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper**, and uses illustrative rates for teaching purposes only.

ATD LEVEL II — PRINCIPLES OF TAXATION (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Define "tax" and outline TWO reasons governments levy taxes. (8 marks)
- (b) Distinguish between a direct tax and an indirect tax, giving one example of each. (8 marks)
- (c) Distinguish between a progressive tax and a regressive tax. (4 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes tax classification, KRA's functions, chargeable income, PAYE, VAT basics, tax returns/assessments/compliance, tax offences and penalties, a fully worked illustrative PAYE computation, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.